In respect of relations with Pakistan, despite several confidence-building measures, bus diplomacy and summit meetings, no improvement was noticed and stalemate continued. President Musharraf, during his second visit to New Delhi on 17 April 2005, declared that the peace process had become irreversible and, despite fresh confidence-building measures, such as pledge to solve the Kashmir issue, the possible resumption of Lahore–Amritsar bus service and reestablishment of consulates at Karachi and Mumbai, nothing concrete was actualized in reality. Efforts of peace dialogue made, thereafter, were severely paralyzed due to the increasing number of terrorist acts in India and alleged involvement of Pakistan or of terrorists based in Pakistan. India under Dr. Singh expressed a grave concern over the safety of Pakistan's nuclear arsenal, as there always looms a possibility of the nuclear arsenals falling into the hands of the terrorists, especially the Taliban and the Al-Qaeda. Therefore, stalemate continued as far as the Indo–Pak relation is concerned.

India's vote against Iran in International Atomic Energy Agency (IAEA) general body was in favour of a resolution warning Iran that its case could be referred to the UN Security Council for possible sanctions if it did not fully cooperate with the IAEA on its investigation about any secret efforts at enrichment of uranium to a degree that would make it possible for Iran to develop an atomic device. This had opened floodgates of criticisms against the Manmohan Government as India had to pursue the Oil Pipeline Programme from Iran through Afghanistan and Pakistan. India under Dr. Singh also strove to improve ties with the Association of South East Asian Nations (ASEAN) and the European Union (EU).

The second term of Dr. Manmohan Singh began with the victory of the Congress and its allies in the 15th Lok Sabha election. The highlights till now have been the Indo–Pak relations, Indo–US Nuclear deal and climate-change related emission issue.

On the sidelines of the 15th NAM Summit (Sharm el-Sheikh, 2009) Dr. Manmohan Singh met the Pakistani PM Yousuf Raza Gilani and both strove to make serious efforts towards positive improvement in Indo–Pak relations despite several glitches. India dropped her insistence of holding talks with Pakistan only after those involved in